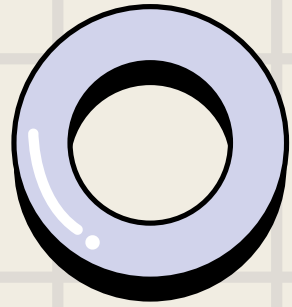


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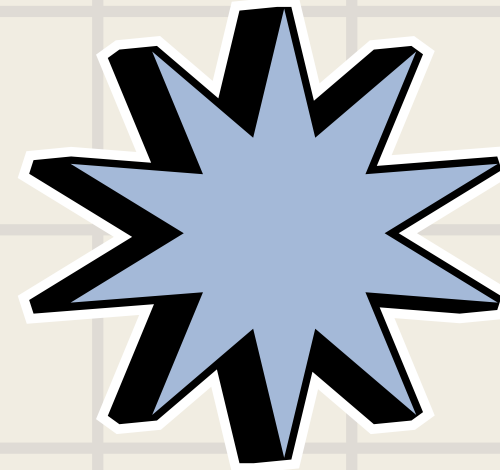


# AUDITING AND INTERNAL CONTROL



**Chapter 1**

# Attest Service vs. Advisory Services



## Attest Service

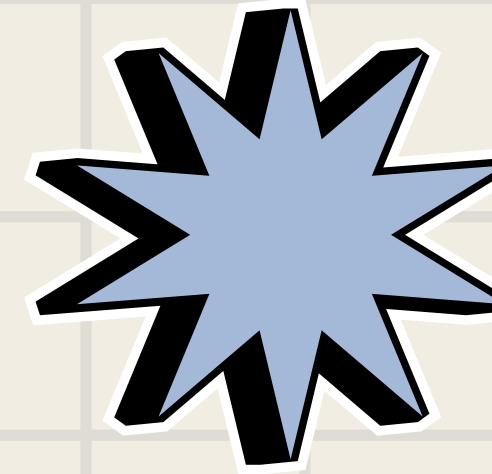
- Attest services involve an independent professional evaluating information prepared by a client and issuing a report on its reliability.
- Purpose: To give credibility and assurance to third parties (investors, regulators, lenders).
- Key characteristics: Requires independence, Follows formal standards, Produces a written opinion/report, Focuses on historical or existing data

## Advisory Services

- Advisory services involve providing expert advice, analysis, or recommendations to help a client improve performance or make decisions.
- Purpose: To help management plan, improve, or solve problems.
- Key characteristics: Independence usually not required, Forward-looking and decision-oriented, Flexible approach, not always standardized, Focuses on future performance and improvement

| Aspect                | Attest Services       | Advisory Services          |
|-----------------------|-----------------------|----------------------------|
| Main goal             | Provide assurance     | Provide advice             |
| Independence required | Yes                   | Usually no                 |
| Time focus            | Past/present info     | Future decisions           |
| Output                | Formal opinion/report | Recommendations/strategies |
| Audience              | External stakeholders | Management/internal users  |

# External vs. Internal Audit



## External Audit

- An external audit is an independent examination of an organization's financial records, statements, and internal controls conducted by a third party, usually a Certified Public Accountant (CPA) firm
- The primary goal is to provide an independent opinion on whether the financial statements are: Fairly presented, Free from material misstatement and Compliant with accounting standards
- Typically conducted on an annual basis
- Output: Audit Opinion, which may be: Unmodified, Qualified, Adverse or Disclaimer

## Internal audit

- An internal audit is an independent, objective assurance and consulting activity performed by employees within the organization.
- To evaluate and improve: Internal controls, Risk management, Governance processes, Operational efficiency
- Done throughout the year (continuous or periodic)
- Output: Internal audit reports and Recommendations for improvement



# Fraud Audit

A fraud audit is a special type of audit conducted to investigate suspected fraud within an organization. It is not routine. It is performed when there are red flags, complaints, or suspicions of wrongdoing.

Unlike regular audits, fraud audits focus on:

- Intentional misstatements
- Manipulation of records
- Asset misappropriation
- Corruption (bribery, kickbacks)



# Role of the Audit Committee

The audit committee is a small group from a company's board whose job is to watch over the company's financial reporting and auditing — basically, they help make sure the numbers are honest and the auditors can do their job properly.



# Generally Accepted Auditing Standards (GAAS)

## General Standards

These relate to the auditor's qualifications and independence.

- The auditor must have adequate technical training and proficiency
- The auditor must be independent
- The auditor must exercise due professional care

## Standards of Fieldwork

These relate to how the audit is conducted.

- The audit must be properly planned
- Internal controls must be understood
- Sufficient appropriate audit evidence must be obtained

## Reporting Standards

These relate to the audit report.

- State whether financial statements follow accounting standards (GAAP)
- Identify inconsistencies
- Ensure adequate disclosures
- Express an opinion (or explain why not)

# Management Assertions

## **Existence or Occurrence**

Affirms that all asset and equities in the balance sheet exist and that all transactions in the income statement actually occurred.

Declares that no material assets, equities, or transactions have been omitted from the financial statements.

## **Completeness**

## **Rights and Obligation**

Maintains that assets appearing on the balance sheet are owned by the entity and that the liabilities reported are obligations.



# Management Assertions

## **Valuation or allocation**

States that assets and equities are valued in accordance with GAAP and that allocated amounts such as depreciation expense are calculated on a systematic and rational basis.

Financial statement items are correctly classified and that footnote disclosures are adequate to avoid misleading the users of financial statements.

## **Presentation and Disclosure**

# Management Assertions

**TABLE 1.2**

## Audit Objectives and Audit Procedures Based on Management Assertions

| Management Assertion        | Audit Objective                                                                       | Audit Procedure                                                                                                                         |
|-----------------------------|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| Existence of Occurrence     | Inventories listed on the balance sheet exist.                                        | Observe the counting of physical inventory.                                                                                             |
| Completeness                | Accounts payable include all obligations to vendors for the period.                   | Compare receiving reports, supplier invoices, purchase orders, and journal entries for the period and the beginning of the next period. |
| Rights and Obligations      | Plant and equipment listed in the balance sheet are owned by the entity.              | Review purchase agreements, insurance policies, and related documents.                                                                  |
| Valuation or Allocation     | Accounts receivable are stated at net realizable value.                               | Review entity's aging of accounts and evaluate the adequacy of the allowance for uncollectable accounts.                                |
| Presentation and Disclosure | Contingencies not reported in financial accounts are properly disclosed in footnotes. | Obtain information from entity lawyers about the status of litigation and estimates of potential loss.                                  |

# Audit Risk

## Inherent Risk

- The risk that a material misstatement could occur before considering internal controls.
- It is the natural risk of an account or transaction.

-Causes:

Complex transactions

High estimates (e.g., allowance for doubtful accounts)

Susceptibility to fraud

Rapid changes in business

## Control Risk

- The risk that a material misstatement will not be prevented or detected by the company's internal controls.

-Causes:

Weak internal controls

Poor segregation of duties

Lack of supervision

## Detection Risk

- The risk that the auditor's procedures fail to detect a material misstatement.
- This is the only risk the auditor can directly control.

- Influenced by:

Quality of audit procedures

Sample size

Auditor competence

Time pressure

**Audit Risk**

**=**

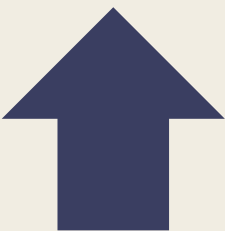
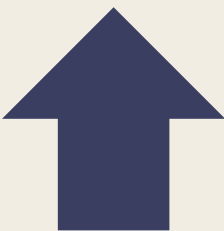
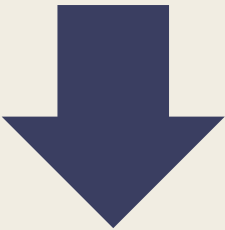
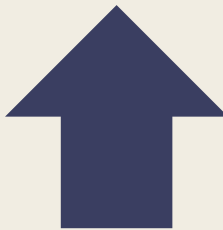
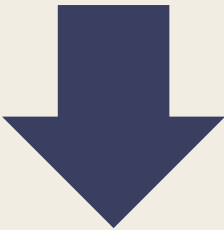
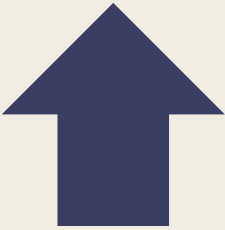
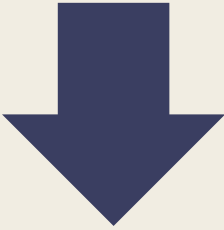
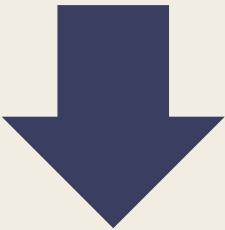
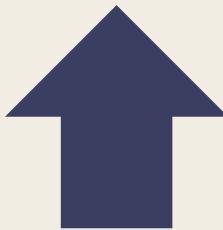
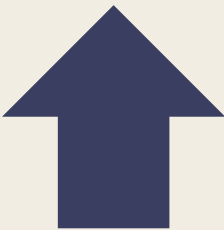
**Inherent Risk**

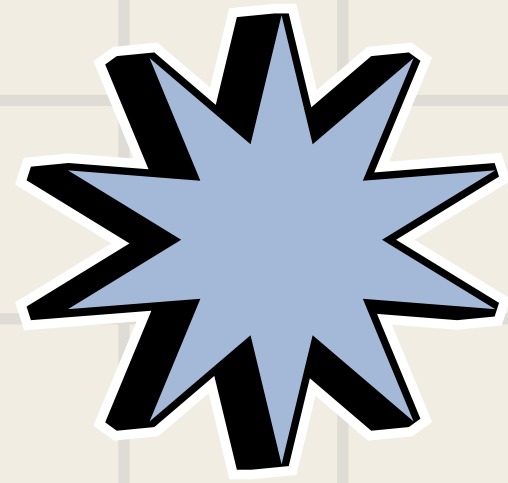
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**Control Risk**

**x**

**Detection Risk**





# Test of Control vs. Substantive Testing

## Test of Controls

Purpose: To determine whether a company's internal controls are working effectively.

Examples:

- Checking if purchase orders require proper approval
- Observing segregation of duties in cash handling
- Inspecting whether reconciliations are reviewed by supervisors
- Testing if access to accounting software is restricted

## Substantive Testing

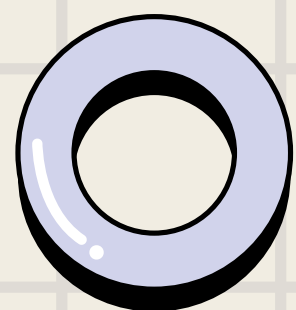
Purpose: To detect material misstatements in account balances or transactions.

Examples:

- Confirming receivable balances with customers
- Counting inventory physically
- Recalculating depreciation expense
- Examining invoices to verify revenue

- Tests of Control = "Is the system reliable?"
- Substantive Testing = "Are the figures right?"





# INTERNAL CONTROL



# Principles

Management  
Responsibility

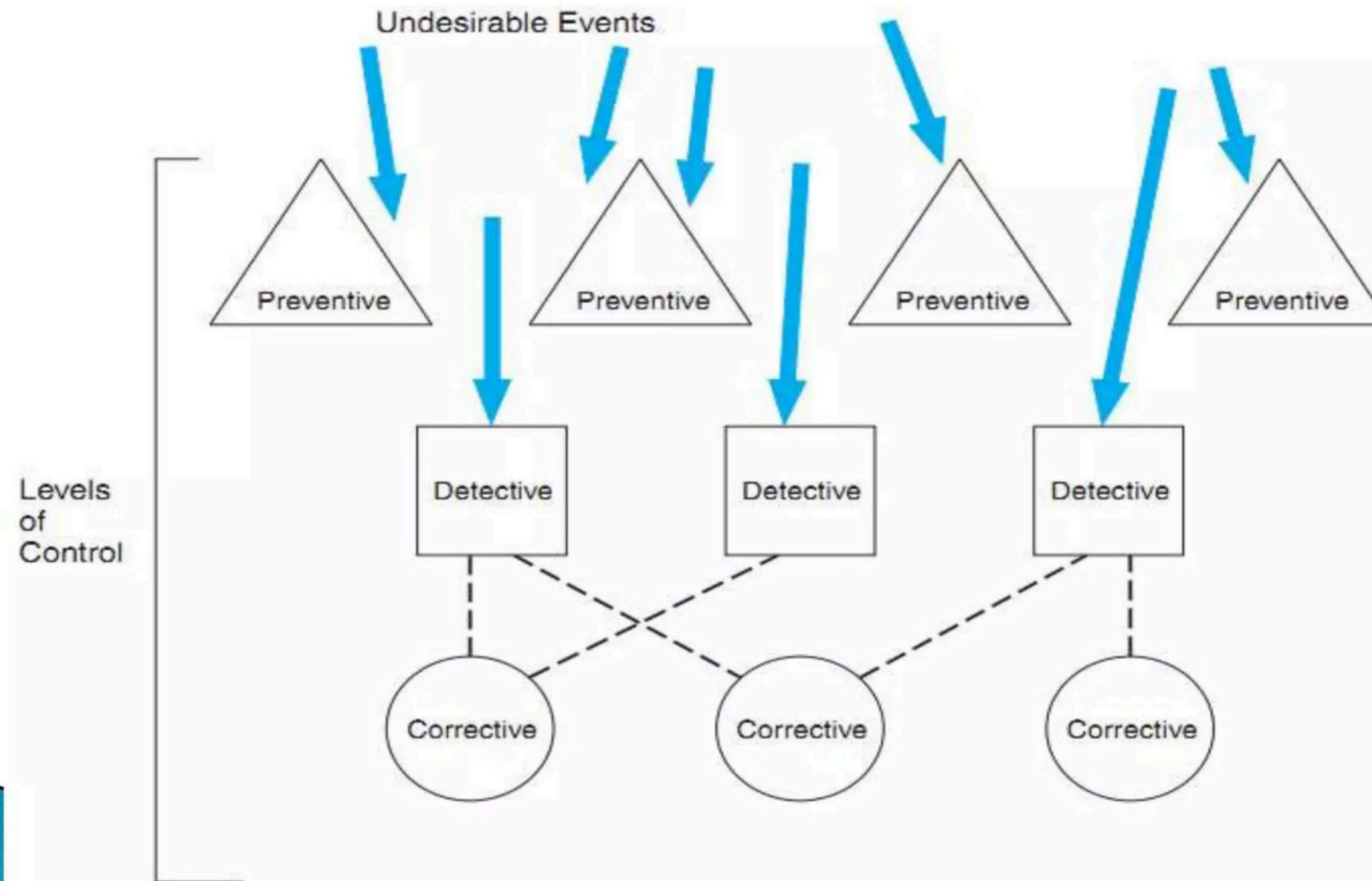
Methods of Data  
Processing

Limitations

Reasonable Assurance

# PDC MODEL

## The Preventive–Detective– Corrective Internal Control Model



# PDC MODEL

## **Preventive controls**

- First line of defense.
- Passive techniques designed to reduce the frequency of occurrence of undesirable events.

- Second line of defense.
- Devices, techniques, and procedures designed to identify and expose undesirable events that elude preventive controls.

## **Detective Controls**

## **Corrective Controls**

- To reverse the effect of detection errors.
- Fix the problem

# COSO FRAMEWORK

Control Environment

Risk Assessment

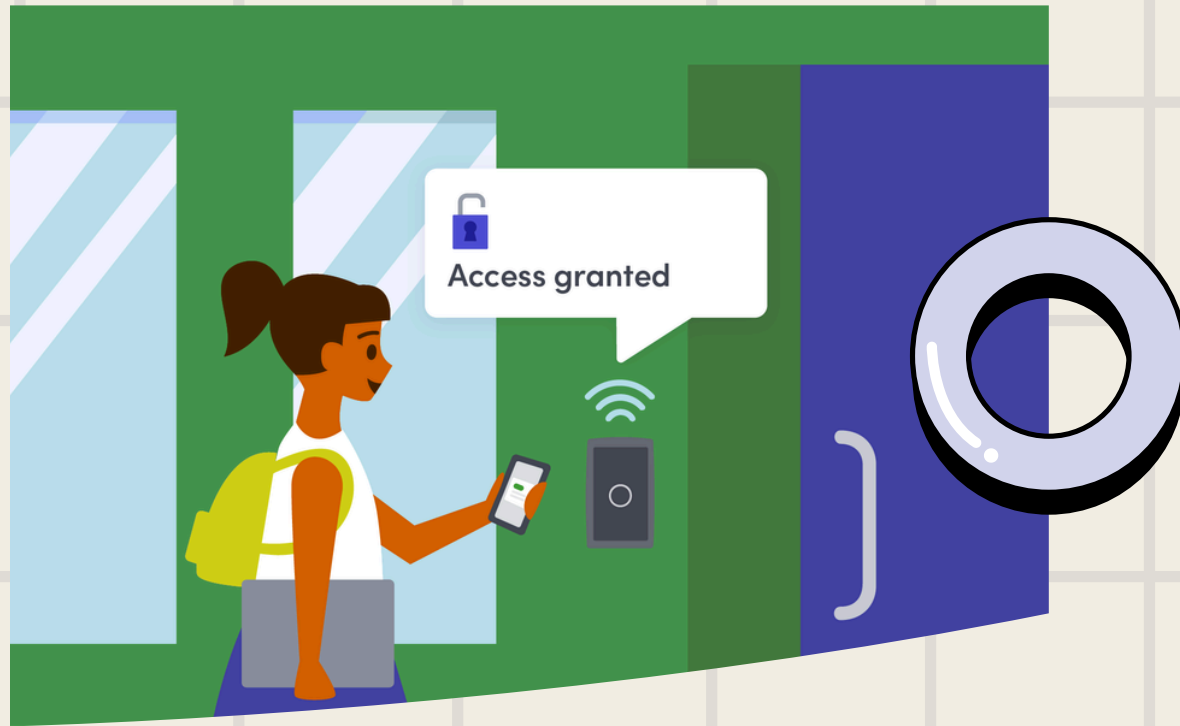
Information and  
communication

Monitoring

Control Activities



# Control Activities



## Physical Controls

Physical controls are safeguards that protect tangible assets and facilities from theft, damage, or unauthorized access.

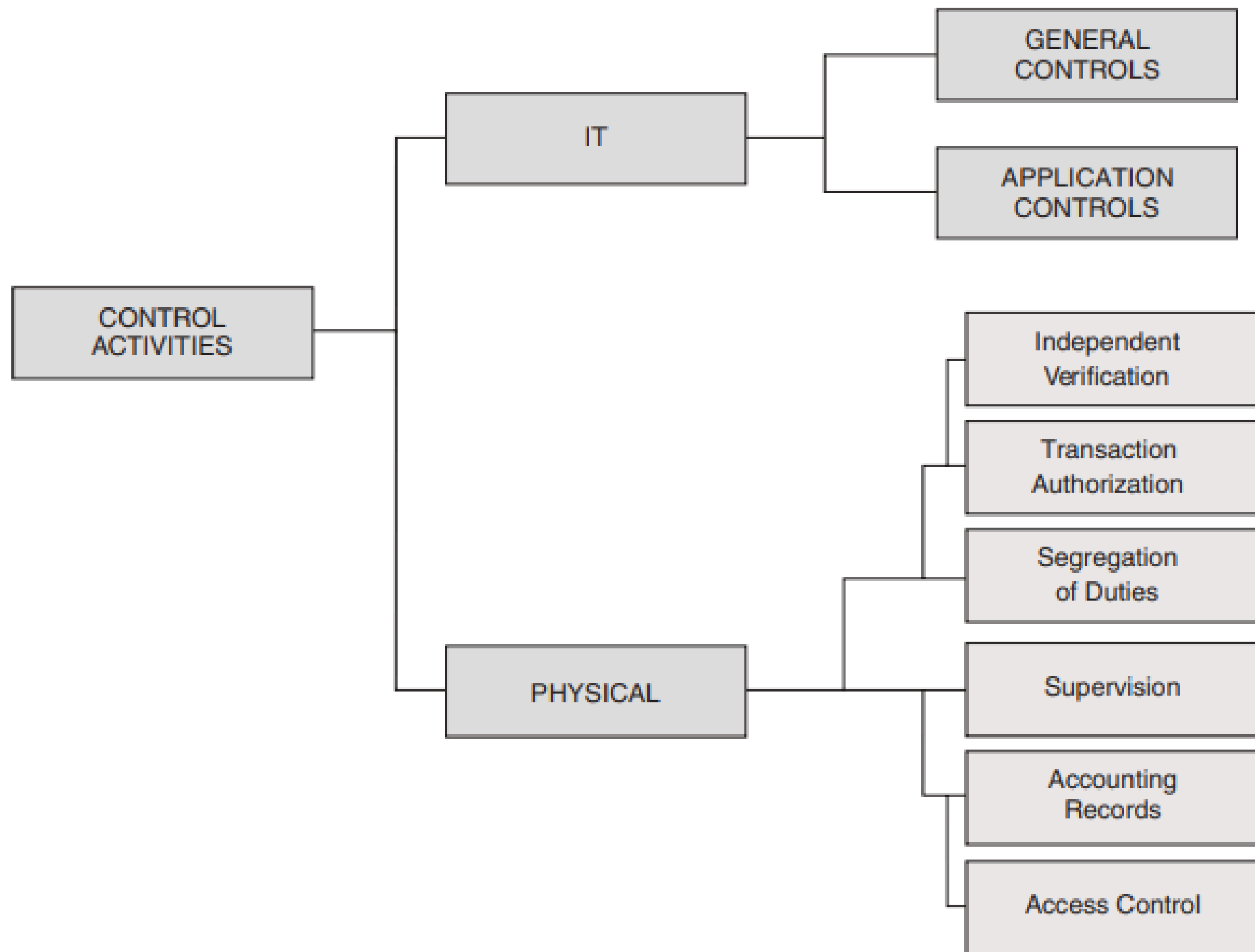
- Focus: People, buildings, and equipment



## IT Controls

IT controls are safeguards that protect information systems, data, and digital processes.

- Focus: Systems, software, and data





# Physical Controls

## Transaction Authorization

The purpose of transaction authorization is to ensure that all material transactions processed by the information system are valid and in accordance with management's objectives.

One of the most important control activities is the segregation of employee duties to minimize incompatible functions.

## Segregation of Duties

## Supervision

in small organizations or in functional areas that lack sufficient personnel, management must compensate for the absence of segregation controls with close supervision.

# Physical Controls

## Accounting Records

The accounting records of an organization consist of source documents, journals, and ledgers. These records capture the economic essence of transactions and provide an audit trail of economic events

The purpose of access controls is to ensure that only authorized personnel have access to the firm's assets.

## Access Control

## Independent Verification

Verification procedures are independent checks of the accounting system to identify errors and misrepresentations.

# IT Controls

## General Controls

General controls are policies and procedures that support the overall reliability of the IT environment.

Application controls are controls built into specific software applications to ensure transactions are valid, complete, and accurate.

## Application Controls

